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Rathbone Income

Task Force on Climate-Related Financial Disclosures Product Report

Dec 2024

Rathbones Asset Management

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Your portfolio's impact on climate change

The purpose of this report is to provide you with a summary of the possible impact of climate change, both the risks and opportunities, on the securities held within the fund. For the purposes of comparison, we calculate the same metrics for the fund's benchmark using MSCI data. Reporting period 1st January 2023 to 31st December 2023. Calculation date 31st December 2023.

Rathbones' approach to governance, strategy, risk management and Group / Entity level metrics can be found in the Group / Entity TCFD report. A glossary of terms used in this document can be found here - https://www.rathbones.com/ri-glossary. The value of investments may increase or decrease due to the impact of climate change. Rathbones believes that there is sufficient data coverage to rely on these figures.

WEIGHTED AVERAGE CARBON INTENSITY (WACI)

The carbon intensity of the fund weighted by the amount invested in each company, which serve as a measurement of emissions performance of the fund (for Scope 1+ Scope 2).
This is calculated in tonnes CO2e divided by £M sales.

2023	2024
105.6 Tonnes CO_2e/£M sales Data coverage: 96.00%	117.8 Tonnes CO_2e/£M sales Data coverage: = 97%

Carbon intensity and the total carbon footprint for the fund slightly increased in 2024. This can be attributed to a
heavier weighting in sectors such as consumer staples and real estate with a higher carbon footprint.

TOTAL CARBON FOOTPRINT

The total carbon emissions of the fund divided by the total value of the fund. This is calculated in tonnes CO_2e divided per £M invested.

2023	2024
65.2 Tonnes CO_2e/£M sales Data Coverage: 96.00%	74.3 Tonnes CO_2e/£M invested Data coverage: 97%

Carbon intensity and the total carbon footprint for the fund slightly increased in 2024. This can be attributed to a
heavier weighting in sectors such as consumer staples and real estate with a higher carbon footprint.

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Your portfolio's impact on climate change (Cont'd)

The purpose of this report is to provide you with a summary of the possible impact of climate change, both the risks and opportunities, on the securities held within the fund. For the purposes of comparison, we calculate the same metrics for the fund's benchmark using MSCI data. Reporting period 1st January 2023 to 31st December 2023. Calculation date 31st December 2023.

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SCOPE 1 AND 2 GREENHOUSE GAS EMISSIONS

The sum of the total operational emissions from securities within the fund.
This is calculated in tonnes CO2e.

2023	2024
43023 Tonnes CO_2e Data coverage 96.00%	42,694 Tonnes CO_2e Data coverage: 97%

Scope 1 and 2 greenhouse gas emissions were up slightly in 2024, this was again attributed to a larger allocation of companies in the consumer staples and real estate sectors. Both these sectors generally struggle to reduce their total operational emissions due to the energy intensive nature of their business models.

SCOPE 3 GREENHOUSE GAS EMISSIONS

The total indirect emissions that the fund is responsible for, within its value chain, including: employee travel, waste disposal, leased assets and franchises.

2023	2024
627930 Tonnes CO_2e Data coverage 96.00%	535,254 Tonnes CO_2e Data coverage: 97%

Scope 3 greenhouse gas emissions were down in 2024. This is due to the decrease in exposure to industrial companies that had a larger scope 3 carbon footprints. As scope 3 emission reporting isn't yet an exact science scope 3 emission data will continue to be potentially volatile in the coming years.

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IMPLIED TEMPERATURE RISE

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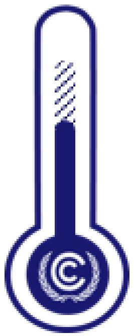
The Implied Temperature Rise (ITR) is a forward-looking metric which provides an indication of how well the fund aligns with the ambitions of the Paris Agreement calculated in degrees Celsius.



2.2°C

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1.5 - 2°C

Paris agreement target

HOW DO THESE SCENARIOS ALIGN TO PARIS AGREEMENT COMMITMENTS?

The Paris Agreement's central aim is to strengthen the global response to the threat of climate change by keeping the global temperature rise this century to well below 2 degrees Celsius above pre-industrial levels

SCENARIO ANALYSIS

Climate value-at-risk attempts to assess the potential financial loss or gain from the fund as a result of climate change, including the impact of: climate policy; new technology opportunities; physical risks.

The 3 scenarios of climate change which we have assessed shows how a global temperature increase of between 1.5C⁰ and 3⁰C by 2100 may impact the fund. We calculate these using the Network for Greening the Financial System (NGFS) REMIND model, accessed through MSCI.

	ORDERLY TRANSITION		DISORDERLY TRANSITION		HOT HOUSE WORLD	
Global temperature rise	+1.5C		+1.5C		+3.0C	
Application of climate policies	Climate policies are introduced and gradually become more stringent		Climate policies are delayed or inconsistent across countries		Global efforts are insufficient to halt significant global warming	
Your portfolio Climate value at risk (Data coverage: 96.8%	2023	2024	2023	2024	2023	2024
	-14.3%	-15.9%	-17.5%	-17.8%	-60.0%	-6.0%
Climate scenarios Climate scenario analysis helps us understand the implications of possible climate scenarios on our investment portfolio, and the resilience of our investment strategies in the transition to a net zero economy. Our approach to scenario analysis involves assessing the exposure of our equity and corporate bonds holdings by applying MSCI's Climate Value-at-Risk (Climate VaR) methodology.	Orderly transition scenarios assume climate scenarios assume climate policies are introduced early and become gradually more stringent. Both physical and transition risks are relatively subdued		Disorderly scenarios explore higher transition risk due to policies being delayed or divergent across countries and sectors. Carbon prices are typically higher for a given temperature outcome		Hot house world scenarios assume that some climate policies are implemented in some jurisdictions, but global efforts are insufficient to halt significant global warming. Critical temperature thresholds are exceeded, leading to severe physical risks and irreversible impacts like sea-level rise.	

For both the orderly and disorderly scenarios the climate value-at-risk is high as some of the companies the fund is invested in are exposed to high emission industries such as the energy sector. Some companies held within the fund are also more likely to be negatively impacted by a faster climate transition as they will need to accelerate their strategies towards a lower carbon future. Companies are regularly reviewed, and their low carbon transition plans are taken into account as part of evaluating their risk profile. The fund also invests in companies that have exposure to low carbon technologies, products and services that form part of the climate transition. This lowers its climate value-at-risk.

ADDITIONAL INFORMATION

The information in this report is provided for information only and should not be taken as financial advice or a recommendation. The value of investments and the income from them may go down as well as up and you may not get back your original investment. Past performance should not be seen as an indication of future performance.

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